

trustee (*e*). If a testator create a trust for payment of the debts of *another person deceased*, the debts to be paid are those which were not barred by the Statute of Limitations at the death of the person so deceased (*f*).

4. **Legacy duty.**—If a person who has been a bankrupt direct payment of twenty shillings in the pound upon the debts proved in the bankruptcy, the creditors are legatees, and pay *legacy duty*, but there is *no lapse* though a creditor die in the testator's lifetime (*g*).

5. **Statute of Limitations.**—Where a testatrix had devised an estate to trustees *upon trust to sell and pay debts*, but no part of the produce of sale had been set apart for that purpose, the right of the creditor was held by the late V. C. of England not to be within the exception of the 25th section of the Statute of Limitations, 3 & 4 W. 4, c. 27, but to fall under the 40th section; but that inasmuch as the debt had been acknowledged by the surviving trustee, the case was taken out of the statute (*h*). However, the opinion of the Vice Chancellor that the case was not within the 25th section would not, it is thought, now prevail, but the right of the creditor would subsist until adverse possession had run against his trustee (*i*).

6. **But not as regards a testator's personality.**—The rule that the creation of a trust keeps alive a debt not barred at the testator's death does not apply to a trust declared of **personal estate* by will, for the person- [*521] alty vests in the executor upon trust for the creditors by act of law, so that the words of the will are nugatory (*a*). Nor does a devise of real estate upon trust to pay debts prevent the operation of the Statute of Limi-

(*e*) See *Executors of Fergus v. Gore*, 1 Sch. & Lef. 110.

(*f*) *O'Connor v. Haslam*, 5 H. L. Cas. 170.

(*g*) *Turner v. Martin*, 7 De G. M. & G. 429; *Re Sowerby's Trust*, 2 K. & J. 620; *Philips v. Philips*, 3 Hare, 281.

(*h*) *Lord St. John v. Boughton*, 9 Sim. 219.

(*i*) See *infra* as to the Statutes of Limitations.

(*a*) *Jones v. Scott*, 1 R. & M. 255; reversed 4 Cl. & Fin. 382; *Freaker v. Craneveldt*, 3 M. & Cr. 499; *Evans v. Tweedy*, 1 Beav. 55; *Crallan v. Oulton*, 3 Beav. 1; *Re Hepburn*, 14 Q. B. D. 394. N. B. In *Moore v. Petchell*, 22 Beav. 172, the doctrine established by *Jones v. Scott*, appears to have escaped notice.